

Terminating a Lease in Michigan

Amicable Termination

As with most contracts, there are many ways for a lease to terminate. There's also the possibility for a combination of these forms of termination. For example, the lease could expire, the tenant could holdover illegally, and then the landlord could pursue an eviction. Let's first look at the most amicable ways a lease is terminated.

Expiration

The most obvious form of a lease termination is the **expiration** of the lease term. At such a termination, the tenant vacates and the landlord repossesses the property or unit.

Mutual Agreement

Another way for a lease to terminate is through **mutual agreement** : the landlord and tenant can mutually agree to cancel a lease before its expiration.

Eviction

A lease can also be terminated when a tenant is evicted by the landlord for breaching terms of the lease, such as failing to make prompt and regular lease or rent payments.

Eviction is a legal action by the courts to remove the tenant and the tenant's belongings from the premises. After an eviction, the unit returns to the possession of the landlord, who may then lease it again. Sometimes a landlord will request a lien on the tenant's belongings as security for payment of rent owed.

Eviction procedures and requirements vary by locality. Landlords should seek legal counsel and, at minimum, should obtain copies of the court rules, forms, and procedures to avoid acting illegally.

Other Eviction Types

Self-help eviction is when a landlord acts without a court's involvement, violating statutory law by physically removing the tenant and the tenant's belongings from the premises, or preventing the tenant from accessing the premises by means such as changing the locks. It's illegal for landlords to lock tenants out of their apartments, shut off the utilities, remove apartment doors, or remove the tenant's possessions without a court order. Landlords who use illegal methods to force tenants out of their buildings are subject to both civil and criminal penalties. Tenants are entitled to recover triple damages in a legal action against the landlord, and are also entitled to be restored to occupancy.

A **constructive eviction** may occur intentionally or inadvertently. Constructive eviction is when the tenant is prevented from the quiet enjoyment of the premises. If the premises have become unlivable due to a breach of warranty of habitability, a tenant may vacate and not be held responsible for lease payments. To claim constructive eviction, the tenant must actually leave while the conditions that make the premises uninhabitable exist. The lease is then terminated, and no rents are due; however, the tenant may have to go to court to prevail against a claim of unpaid rent. Michigan law sets specific requirements for the procedures tenants must follow before moving out under these circumstances and the problem must be very serious-such as lack of heat or water.

Additional Ways for Leases to End

Abandonment is yet another way for a lease to terminate; however, it doesn't relieve the tenant from the terms of the lease. A tenant can't simply vacate and expect to be relieved of the obligation to pay rent through the end of the lease period. A landlord who chooses not to accept the return of the premises may pursue the tenant for unpaid rent. A landlord who does accept the return of the premises may also pursue the tenant for lost rent under the old lease, but must make best efforts to re-rent the unit, in order to **mitigate damages**. A landlord could not, for instance, pursue a tenant for six months' lost rent if the landlord doesn't attempt to find new tenants during that time.

A claim of **domestic violence** is another way in which a lease may be terminated prematurely. Tenants who believe they or their child (this includes only minor children or legally incapacitated adult children) face a reasonable present danger of domestic violence, sexual assault, or stalking can be released from their rental obligation. Lease agreements should contain the following statement: "A tenant who has a reasonable apprehension of present danger to him or her or his or her child from domestic violence, sexual assault, or stalking may have special statutory rights to seek a release of rental obligation under MCL 554.601b." If this provision isn't on the rental agreement, the landlord should post it in a noticeable location at the property management office or deliver it to the tenant when the lease agreement is signed.

To be released from a rental obligation due to a present danger, the tenant must provide written statement via certified mail to the landlord that there is "a reasonable apprehension of present danger from domestic violence, sexual assault, or stalking." The release from rental obligation starts when the tenant vacates the premises, but no later than the first day of the second month that

rent is due after the notice is given. For example, Irene's rent is due on the first of every month. On August 13th she provided written notice and documentation to her landlord that she's being stalked. Irene can be released from her rental obligation beginning October 1st at the latest. The release of rental obligation doesn't apply to prepaid rent and has no influence on the tenant's security deposit. If multiple tenants are parties to the rental agreement, the remaining parties are still subject to the terms of the agreement. Only the tenant facing a present danger may be released from rental obligation.

Tenants can provide any of the following as written documentation of a present danger:

- Personal or foreign protection order issued by a court and is still valid and in effect at the time the tenant provides this to the landlord.
- Probation, conditional release, or parole order still valid and effective at the time it's provided to the landlord. The order must include conditions needed to protect the tenant or child, including a no contact provision.
- Police report that resulted in charges being filed.
- Report verified by a qualified third party that a present danger exists. Michigan law contains the language of the form that can be submitted. A qualified third party may include: sexual assault or domestic violence counselors, health professionals, mental health professionals, or member of the clergy who is affiliated with a tax-exempt religious institution.

Landlords shouldn't intentionally provide the tenant's forwarding address to the person who's the source of the present threat of danger. The forwarding address should only be provided to individuals necessary to help the landlord carry out normal business activities. For example, if the landlord has an employee who helps with returning security deposits to former tenants, the forwarding address could be provided to that employee to carry out the business activity. Alternatively, if someone claiming to be a friend of the former tenant asks for the forwarding address because he or she has something that belongs to the tenant, the address must NOT be provided to this person.